CITY OF OPA-LOCKA
"The Great City"

CLERK'S ACTION SUMMARY MINUTES
SECOND BUDGET HEARING
September 15, 2010
6:30 p.m.
City Commission Chambers
777 Sharazad Boulevard
Opa-locka, FL 33054

1. ROLL CALL:

The City Commission of the City of Opa-locka, Miami-Dade County, Florida, met for the Second Budget Hearing at 6:40 p.m. on Wednesday, September 15, 2010 in the City Commission Chambers, 777 Sharazad Boulevard, Opa-locka, Florida. The following members of the City Commission were present: Commissioner Dorothy Johnson, Commissioner Rose Tydus, Commissioner Timothy Holmes and Mayor Joseph L. Kelley. Also in attendance were: City Manager Clarance Patterson, City Attorney Joseph S. Geller, and City Clerk Deborah S. Irby. Vice Mayor Myra L. Taylor was not in attendance.

2. INVOCATION:

The Invocation was delivered by Mayor Joseph L. Kelley.

3. PLEDGE OF ALLEGIANCE:

The Pledge of Allegiance was recited in unison.

4. SECOND READING/PUBLIC HEARING:

A. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, ADOPTING A FINAL MILLAGE RATE PURSUANT TO SECTION 200.965, FLORIDA STATUTES FOR FISCAL YEAR 2010-2011, COMMENCING OCTOBER 1, 2010 THROUGH SEPTEMBER 30, 2011; SETTING PUBLIC HEARING DATES; PROVIDING FOR INCORPORATION OF RECITALS; PROVIDING FOR REPEAL OF ALL PRIOR ORDINANCES IN CONFLICT; PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE (first reading held on September 8, 2010).

The above ordinance was read by title by Attorney Geller.

Attorney Geller read Section 2 of the above ordinance into the record as follows: Section 2 – The City Commission of the City of Opa-locka hereby adopts and establishes the millage rate of the City of Opa-locka for Fiscal Year 2010 -2011, commencing October 1,

2010, through September 30, 2011, at 8.8000 mills, which is $8.8000 per $1,000.00 of assesses property value within the City of Opa-locka. This represents a 3.35% decrease over the rollback rate of 9.1052 mills.

Mayor Kelley opened the floor for a public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Commissioner Holmes to adopt the above ordinance.

Mayor Kelley stated for the record that the ordinance adopts the millage rate at 8.8 mills and originally it was 9.1 which is a decrease. In looking at other cities, the City of Opa-locka will not have the highest millage rate in Miami-Dade County.

There being no further discussion, the motion passed by a 4-0 vote.

Commissioner Tydus	Yes
Vice Mayor Taylor	Not present
Commissioner Holmes	Yes
Commissioner Johnson	Yes
Mayor Kelley	Yes

B. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING AND ADOPTING THE CITY'S GENERAL FUND BUDGET FOR THE FISCAL YEAR 2010-2011, COMMENCING OCTOBER 1, 2010 THROUGH SEPTEMBER 30, 2011; PROVIDING FOR THE EXPENDITURE OF FUNDS ESTABLISHED BY THE BUDGET; AUTHORIZING THE CITY MANAGER TO TAKE CERTAIN ACTIONS; PROVIDING FOR APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR THE DEPOSIT OF INTEREST EARNED TO THE GENERAL FUND; PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION AND PROVIDING FOR AMENDMENT; PROVIDING FOR REPEAL OF ALL ORDINANCES IN CONFLICT; PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE (first reading held on September 8, 2010).

The above ordinance was read by title by Attorney Geller.

Mayor Kelley opened the floor for a public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Commissioner Holmes to adopt the above ordinance.

Relating to the monthly interest earned report, Commissioner Johnson asked, was that reported monthly or quarterly?

Manager Patterson replied, monthly.

Commissioner Johnson requested that the report on the monthly interest earned continue to be provided to the Commission monthly.

Of concern to Commissioner Johnson was when the Commission adopted the educational plan in the past, she had asked that monies be set aside in the upcoming budget for that purpose. However, she didn't see any monies set aside and she wants to make sure that the Commission is aware. She assumed that staff would be looking into the general fund to pull monies for the educational compact because it was not done and she would be bringing back legislation to support this.

In addition to that, she stated that during the last budget hearing she inquired about the hiring of police officers and she would like to know where those funds are located in the budget.

Manager Patterson advised that all police officers with the exception of those grant funded positions are out of the general fund.

Commissioner Johnson said she was under the assumption that the COPS grant was not out of the general fund.

Manager Patterson explained that there are currently two people on board and there are three positions in the grant that start on October 1, 2010.

Commissioner Johnson asked that the City Manager point out the line item for those positions.

Faye Douglas, Budget Administrator for the City of Opa-locka came forward and stated that the salary for those officers in the grant are accounted for as a part of the salaries in the police department expenditures and the revenue portion is in the revenue of the general fund under the grants portion of the budget.

Commissioner Johnson recalled seeing the grants for this fiscal year being under the general fund. In moving forward, she recommended that all grants be placed under the corresponding department's budget; otherwise, it goes into the general fund which is a separate line item.

Ms. Douglas explained that the grants is part of the expenditures of the police department under the grants division which the city may be able to account for that grant separately in the future; but the city usually includes it as a part of the salaries portion of the police department.

Commissioner Johnson said she would like to see that line item reflected separately in the budget to justify the positions which are annually approved. For accountability, the Commission must know who is monitoring the scope of services for the police

department. If it is in the general fund then that may not be a way for that individual to report back to the Commission. Previously the mayor asked for a report on grants coming in and whoever is there then the Commission must have accountability.

Ms. Douglas stated that the revenue is already reflected separately; however, she would make sure the expense side is separate as well.

Commissioner Johnson added that the city should be reporting monthly to the Commission in terms of how that money is being used especially if it involves matching funds. She said she did not want to get into 2010-2011 rectifying something that is non emergency.

As it related to the grant positions, Mayor Kelley added that the other reason is so that the Commission is aware when those grants run out because in the past the city has picked up the individuals in the general fund thereby creating positions.

Commissioner Johnson stated to the attorney that should there be a grant funded position and the grant is not refunded then somewhere in that contract it needs to be null and void. Even when it comes down to reimbursements, those individuals in those positions need to go in knowing that those funds are coming out the general fund and that the city will not just absorb those positions. She offered to share a clause to that effect with the City Attorney.

Commissioner Tydus asked the City Attorney what kind of legislation would he bring back pertaining to the educational compact alluded to by Commissioner Johnson and how would that affect the budget the Commission is considering?

Previously when adopting the educational compact, Commissioner Johnson said she asked the City Manager to set aside monies for that purpose. Also at that time, she asked the City Manager to check with the City of Miami Gardens because a percentage of the proceeds from their events and a percentage from building permits go towards the educational compact. In moving forward, the Commission may need to look at monies for the educational compact.

Commissioner Tydus stated that the Commission needs to determine how the allocation of monies for the educational compact would affect the budget as it stands today if that allocation has not already been made.

Commissioner Johnson said she was looking at the possibility of using savings from the deferred compensation for the educational compact in an amount of approximately $25,000.00.

Commissioner Tydus said that at this point the budget has been balanced so the Commission must determine now, not later, if those funds are available and how they would be made available. The Commission cannot change the millage rate.

Mayor Kelley clarified that the millage rate is set and the Commission has the numbers; however, Commissioner Johnson is saying that she'd hope the City Manager would have put in one of the line items a $25,000.00 allocation. Although he understood what Commissioner Tydus was saying, he said that the question becomes where can that amount be shown in a line item because the Commission is now setting the budget.

Commissioner Tydus added that the way she views it at this point with the budget set as is, is that there is no money unless a position is eliminated and they would have to take from something.

Mayor Kelley said Commissioner Johnson alluded to the legislation passed at the last meeting regarding the decrease of deferred compensation and she was hoping that money would've been set as a part of the budget because that was a part of the response the City Manager was to give to the Commission. The question is what is the amount and under what line item because it's not a question of anybody losing salary or job.

He asked the City Attorney if the Commission could come back at the next meeting and just define where the line item would be?

Attorney Geller explained that there are two things the Commission could do presumably once the new budget year starts which would not be at the next meeting. The City Manager could reallocate funds already authorized without transferring it from one department to another or the Commission can do a budget amendment once the funds are identified from something already appropriated.

Commissioner Johnson said she did not see where the city got rid of all the temporary positions currently employed; she hasn't seen where the city have attempted to collect the outstanding water bills and she hasn't seen staff bring back all the debt owed to the city. If the City Manager does due diligence, she is sure he can find $25,000.00 for the educational compact.

Manager Patterson concurred with Commissioner Johnson and the correct way to address this when he finds the funds is to do a budget amendment to then put in the line item account.

Mayor Kelley said that normally budget amendments are not done until mid year; however, if the city is going to put funds in the educational compact then he doesn't want to wait until the middle of the year. The key is the allocation of the money and he is of the opinion that there's $25,000.00 to allocate within this current budget, but he just doesn't know the line item to put it in. The City Manager can find the $25,000.00 and bring it back to the Commission to vote on. With the legislation passed for the savings on deferred compensation, he said that might be enough for the $25,000.00. If the City Manager takes that money then it will only require legislation.

He suggested that the City Manager work with the sponsor on the language because the funds can be found within the parameters of the budget and not impact any positions or anyone.

Attorney Geller said that unless the allocation required an actual transfer from one department to another then it does not require a budget amendment. He believed that there is another way to allocate the funds without having to do a budget amendment provided that it's in a line item where the City Manager has some authority and discretion and it is not being an inter-departmental transfer.

He said he would get with the sponsor, administration and budget director. Depending on what the source is would determine as to how they would go about bringing it back.

Mayor Kelley made it clear that the Commission wants an allocation for the educational compact without having to wait for the middle of the year. As the city moves forward, it can consider looking at setting funds aside from other sources as is being done in other cities.

He continued by saying that this ordinance is the city's operating budget which allows them to maintain the workforce without laying anyone off while still providing services and still having the $500,000.00 in reserves. For many years the city didn't have a reserve and it is great to know that in this tough budget time they are still able to have the reserves and still adopt the budget with no impact on public safety or the department.

He further stated that he noticed the City Manager set aside $300,000.00 for sidewalks improvements and working on the streets / roads master plan and Commissioner Johnson had asked about increasing that amount. Although the City Manager has set aside $300,000.00, as the city receives potential additional revenues that they make sure to increase that line item and bring it back to the Commission.

Commissioner Johnson asked for clarification on the Risk Management line item due to the large amount?

Ms. Douglas explained that the amount is for the city's insurance with the Florida League of Cities which is shared between the General Fund and Water & Sewer Fund.

Commissioner Johnson asked, was there any monies left in that line item?

Ms. Douglas replied, no. The city budgeted based on the quote provided.

Commissioner Johnson asked, is the city still linked with the Florida League of Cities for the best pricing?

Ms. Douglas replied, yes.

There being no further discussion, the motion passed by a 4-0 vote.

Vice Mayor Taylor	Not present
Commissioner Holmes	Yes
Commissioner Johnson	Yes
Commissioner Tydus	Yes
Mayor Kelley	Yes

C. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING AND ADOPTING THE CITY'S PROPRIETARY AND SPECIAL REVENUE FUND BUDGET FOR THE FISCAL YEAR 2010-2011, COMMENCING OCTOBER 1, 2010 THROUGH SEPTEMBER 30, 2011; PROVIDING FOR THE EXPENDITURE OF FUNDS ESTABLISHED BY THE BUDGET; AUTHORIZING THE CITY MANAGER TO TAKE CERTAIN ACTIONS; PROVIDING FOR APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION AND AMENDMENT; PROVIDING FOR REPEAL OF ALL ORDINANCES IN CONFLICT; PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE (first reading held on September 8, 2010).

The above ordinance was read by title by Attorney Geller.

Mayor Kelley opened the floor for a public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Commissioner Holmes to adopt the above ordinance.

During the first public hearing, Commissioner Johnson said she along with several of her colleagues requested a listing of those positions that were getting a percentage of funds.

Mayor Kelley pointed out that the information was provided to the Commission in the packet provided by the City Manager.

Manager Patterson explained that the listing provides for those individuals who receive a percentage from the proprietary fund based on how much work they performed.

Commissioner Johnson requested a more detailed report because the report indicated "City Manager's Staff" and "Human Resource Staff" and she wanted to know what positions are involved. In addition to that, she would like to see the City Manager reporting as to what those individuals are actually doing, when they're doing it and how is it different from what they are doing in their regular job.

Manager Patterson stated that their regular job is to do what they do everyday but a part of that includes the different proprietary functions in the city and how much work is performed out of each of those is done on a percentage bases which is how it should be done for accounting purposes so that everything is not paid out of the general fund.

Although she understood what the City Manager just stated, Commissioner Johnson wanted a more detailed report on what specific positions versus a department was receiving a percentage of the proprietary. She further requested to meet with the City Manager on this matter.

Mayor Kelley expressed his contentment with the proprietary taking care of itself which is the way it is supposed to. In the past, the general fund used to subsidize these funds and it is good to see the city is in a position where it is self sufficient to take care of itself.

There being no further discussion, the motion passed by a 4-0 vote.

Commissioner Holmes	Yes
Commissioner Johnson	Yes
Commissioner Tydus	Yes
Vice Mayor Taylor	Not present
Mayor Kelley	Yes

5. ADJOURNMENT:

There being no further business to come before the City Commission, it was moved by Commissioner Johnson, seconded by Commissioner Holmes to adjourn the meeting at 7:12 p.m.

MAYOR

ATTEST:

CITY CLERK